23NWCV01313 23NWCV01313

County: los-angeles

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Case Number: 23NWCV01313 Hearing Date: August 3, 2026 Dept: C

LEPE vs PIH HEALTH, INC..

CASE NO.: 23NWCV01313

HEARING: 8/3/26 @ 9:30 AM

#10

TENTATIVE
RULING

Defendant
COASTAL LANDSCAPE SERVICES, INC.'s Motion for Determination of Good Faith Settlement
is DENIED.

Moving Party to give NOTICE.

Defendant COASTAL
LANDSCAPE SERVICES, INC. (Coastal)
moves for determination of good faith settlement between Coastal and Plaintiff Mario
Lepe (Plaintiff) pursuant to Code of Civil Procedure section 877.6. Defendant PIH Health
Real Estate Services, LLC (PIH) opposes the motion.

Background

This is a personal injury case arising from an
incident that occurred
on or about March 1, 2023. Plaintiff alleges that a planted tree in

Defendant PIH Health Real Estate Services, LLC'S (PIH) parking lot collapsed. Coastal is responsible for maintaining PIH's grounds. (Complaint, ¶ 8.) In April 2023, Plaintiff filed this action against PIH and Coastal Landscape asserting causes of action for negligence and premises liability, alleging Plaintiff was injured as a result of a dangerous condition created by Defendants. Plaintiff alleges both physical and mental injuries, including TBI.
Coastal disputes both liability and the nature and extent of Plaintiff’s injuries.

Legal Standard

The trial court’s
determination of good faith as to a Code of Civil Procedure (CCP) § 877.6 application must take into account
“a number of factors,” including total recovery and proportionate liability, “the amount paid in settlement, the allocation of settlement proceeds among plaintiffs, and a recognition that a settlor should pay less in settlement than he would if he were found liable after a trial.” ¿(Tech-Bilt, Inc. v. Woodward-Clyde & Associates¿(1985) 38 Cal.3d 488, 499; see also Far West Financial Corp. v. D&S Co.¿(1988) 46 Cal.3d 796, 816, fn. 16 [expanding on Tech-Bilt factors].)¿ “If section 877.6 is to serve the ends of justice, it must prevent a party from purchasing protection from its indemnification obligation at bargain-basement prices.” (Long Beach Memorial Medical Center v. Superior Court¿(2009) 172 Cal.App.4th¿865, 876.)¿

“[A] defendant’s
settlement figure must not be grossly disproportionate to what a reasonable person, at the time of the settlement, would estimate the settling defendant’s liability to be.” (Torres v. Union Pacific R. Co.¿(1984) 157 Cal.App.3d 499, 509.)¿¿If the settlement is not so far “out of the ballpark” in relation to the above factors as to be inconsistent with the equitable objectives of CCP § 877.6, the settlement shall be determined as being made in good faith. (Tech-Bilt,¿supra, 38 Cal.3d at pp. 499—500.)

Discussion

Coastal has agreed to pay Plaintiff $500,000.00
for a release of all liability from Plaintiff. Coastal contends that the Settlement Agreement was made in good faith given the settlement between

Plaintiff and Defendant was reached after the parties engaged in arms-length settlement negotiations, including two mediations, without any attempt to injure or harm any other party, and after discovery including independent medical examinations. (Foston Decl. ¶19.) As to approximation of total recovery, Coastal contends that the settlement amount is more than what Plaintiff personally paid for his medical expenses, and Coastal disputes Plaintiff's claimed injuries.

In opposition, PIH argues that payment of $500,000 is too low and Coastal's Motion presents no evidence to justify this settlement amount. PIH argues that the potential exposure as much as $5 million, therefore the settlement amount of $500,000 is only 10% of a potential exposure and not in the "ball park."

In reply, Plaintiff maintains that PIH, the property owner, is charged with maintaining the property, including the tree that struck Plaintiff, in a reasonably safe condition, and that duty is non-delegable as a matter of law. Thus, PIH is vicariously liable for Coastal's negligence, and PIH remains jointly and severally liable for the entire verdict regardless of what percentage of comparative fault a jury ultimately assigns to Coastal. (Srithong v. Total Investment Co. (1994) 23 Cal.App.4th 721, 727-28 (Proposition 51's limitation upon an individual tortfeasor's liability for noneconomic damages does not apply where one tortfeasor is vicariously liable for the negligence of another).)

On this record, Coastal has not demonstrated that the amount of the settlement is within the reasonable range of the settling defendant's proportional share of comparative liability for Plaintiff's injuries. Coastal contends that evidence showed that Coastal was permitted to perform work only with PIH's approval, that Coastal requested permission to address the subject tree, among other trees on the property, after being given notice by PIH that the tree was leaning, and that there is no dispute that Coastal was not permitted to perform such work without PIH's written approval. PIH also had several days to secure or barricade the subject tree to prevent it from falling, but failed to do so, and PIH only approved Coastal to work on the property following the tree falling. (Foston Decl., ¶13) PIH counters that Coastal made all tree care decisions, including the selection of the species of the tree that was planted and watering. PIH points out that

Plaintiff has alleged that Coastal's care of the tree increased the likelihood of the tree's failure. (Racanelli Decl., ¶ 2, Ex. A, Plaintiff Mario Lepe's Response to Coastal Landscape Services, Inc.'s First Supplemental Interrogatory No. 30.)

Coastal's Special Interrogatory No. 30 and Plaintiff's response is as follows:

"SPECIAL INTERROGATORY NO. 30

State all facts supporting YOUR contention that Defendant is responsible for YOUR injuries and damages.

SUPPLEMENTAL RESPONSE TO SPECIAL INTERROGATORY NO. 30

Coastal Landscaping Services, LLC's ("Coastal") liability is clear cut. Coastal was notified of the tree's likelihood of failure and took no steps to mitigate the risk of the tree's failure and/or remove the tree. Moreover, all tree care decisions were made by Coastal from species selection to general care, such as watering. The level of care Coastal provided in these respects considering the species and the space increased the likelihood of the tree's failure."

Coastal fails to address this contention in its Reply. The Court is concerned that Coastal has not accurately stated the extent of its potential liability for Plaintiff's injuries.

The Court is also concerned about the lack of evidence tending to establish Plaintiff's probable total recovery. The Court recognizes that it only needs to make a rough approximation of total recovery to approve the settlement. However, the parties do not dispute that the $500,000 settlement amount is one-tenth of PIH's total exposure of $5 million. This tends to show that the settlement amount is not within the reasonable range of settling defendant's proportional share of comparative liability. Where Plaintiff has allegedly suffered traumatic brain injury and is likely to incur substantial future medical expenses, it is of little assistance to the Court that the settlement amount is more than what

Plaintiff paid for his past medical expenses.

Accordingly,
on this record, the motion for determination of good faith settlement is DENIED.